

BUSINESS PERFORMANCE & INSIGHTS SUMMARY

Overall Business Performance

The business generated total sales of **2.33M** across **10.19K orders**, resulting in a total profit of **292K** and an overall profit margin of **12.56%**. This reflects strong revenue generation with stable profitability.

Business Growth

The company achieved a growth rate of **3.80%**, indicating steady and consistent business expansion over the analyzed period.

Regional Performance Analysis

The **West region** recorded the highest sales (**0.74M**), followed by the **East region (0.69M)**. In contrast, the **South region** generated the lowest sales (**0.39M**), highlighting potential opportunities for market expansion and strategic improvement.

Monthly Sales Trends

Sales performance shows clear seasonal variation throughout the year. The **highest sales were recorded in November (352K)**, followed by **December (330K)** and **September (308K)**, indicating strong performance during the later months of the year, possibly due to festive seasons or promotional campaigns.

In contrast, **February (59K)** recorded the lowest sales, followed by **January (96K)**, suggesting lower demand in early months. Overall, sales gradually increase toward the end of the year, highlighting a strong seasonal growth pattern.

Category Contribution

Among product categories:

- **Technology** contributed the highest share (**36.1%**) of total sales
- **Furniture** contributed **32.44%**
- **Office Supplies** contributed **31.46%**

This indicates that Technology products are the primary drivers of revenue.

Customer Performance (Top Customers Analysis)

The Top 10 customers contributed approximately 153.8K in total sales, highlighting a strong concentration of revenue among a small group of customers.

Among them, Sean Miller is the highest contributor (25.04K), followed by Tamara Chand (19.05K) and Raymond Buch (15.11K).

This indicates that a limited number of customers play a critical role in overall revenue generation, emphasizing the importance of customer retention and relationship management.

Impact of Discounts on Profitability

Discount analysis shows a strong negative relationship between discount levels and profit. Orders with **no discount** generate an average profit of approximately **42.12**, whereas orders with **high discount** result in an average loss of approximately **-103.78**. This indicates that excessive discounting significantly reduces profitability and can lead to losses.

Profitability Analysis

While overall sales performance is strong, profitability varies across regions, customers, and discount levels. This highlights the need to optimize pricing strategies, discount policies, and product mix to improve margins.

KEY RECOMMENDATIONS FOR MANAGEMENT

- Focus on maximizing sales during high-performing months (September–December) through targeted campaigns and inventory planning
- Improve strategies for low-performing months (January–February) to stabilize revenue throughout the year
- Strengthen performance in high-performing regions like West while improving underperforming regions such as South
- Expand high-margin Technology products to increase profitability
- Implement controlled discount strategies to minimize profit loss
- Identify and retain high-value, high-profit customers

Overall, the analysis provides actionable insights that can help management improve profitability, optimize operations, and drive sustainable business growth.